



Twitch ditches Flash

The popular streaming service has begun the transition from Flash to HTML5 <http://dgit.in/TwitchHTML5>



ARM starts flying Kite

ARM announced its first v8-R processor core targeted for real-time embedded apps. <http://dgit.in/ARMv8-R>

incentive to stick their necks out for you. This is also an important part of the “story” as it means that you have a committed core team that will stick with you till the end. These ESOP’s (employee stock ownership plans), as they’re called (Yes, finance geeks also love their acronyms), come with a lock-in period so no one can just jump ship.

Now that we have all that out of the way, let’s see how to get the ball rolling.

Pitching to investors

If you think you’re smarter than the investor and can just dazzle or laud him with platitudes and pontification, think again. They’re extremely smart. Irrespective of what Rahul Yadav says, don’t take them lightly.

Before entering the meeting, you should be ready with thorough research on your industry, its history, growth prospects (as shown by leading market research companies) and competition. Presenting to investors without hard market data to back you up is like no-scoping in Counter Strike world league without ever firing a Deagle at your local cyber cafe. No matter how great you think you are, you’re going to get shot down. In the first few seconds. Now the time spent on the tedious business plan seems worth it, doesn’t it?

When pitching, honesty eventually turns out to be the best policy. Expect to be grilled like a well done steak. Starting with why your product or service is needed. The investors love to play the devil’s advocate. This is where you use your finely honed weapon of research.

Typically, they’re looking for answers to questions like “What is the idea?”, “What’s the gap you’re addressing?”, “Does this idea represent a need-at-any-cost solution to the consumer or is it a latent demand?”, “What is the market size and growth rate?” and “What are the chances and methods of future monetisation?”

A word of caution here: Most entrepreneurs in their unbounded enthusiasm consider the entire 6 billion population or a huge chunk of it as their potential market. Then they derive that only a miniscule size of this is required to achieve a billion-dollar company. Nothing will send investors running to the door faster. Be realistic of your market niche and talk about a specific

NEVER DESPAIR

‘Kaaryah’, the now popular online apparel store for women was rejected by 113 investors before securing funding from Ratan Tata, Chairman Emeritus, Tata Group. On the 365th day of sending the first mail, she finally hit paydirt. That, my friend, is perseverance.

segment. If you want it straight from the horse’s mouth, take a look at <http://indianangelnetwork.com/guidelines>.

How to value your business

So you’ve managed to interest the investors and are discussing how much investment you’ll need. This raises a very important and sticky question: What is the valuation of your company? Although seemingly innocuous, this would be the most important question your startup has faced. Undervalue and you’ll have a cascading effect all your life. Apart from getting less than what you’re worth, you’ll always be hampered by this in all subsequent funding rounds. Over valuation, although attractive, will drive away future investors.

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‘Comparables’, as the name suggests, takes a metric core to that industry and multiplies it by a revenue number. This number is arrived at by looking at other deals in the same space with the same dynamics. The comparable metric is different for different industries. In the hotel

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industry, the revenue per room is taken as the metric core and this is multiplied by revenue per room. Comparables played a big role in the valuation of Whatsapp and Instagram. Revenue (in dollars) was multiplied by number of users. There are several more schools of thought on this, but the crux of it lies elsewhere.

Does all this sound a bit too hocus pocus? Like staring into a crystal ball, rolling your eyes and spouting a number in a deep, enchanting voice? Pardon the histrionics, but valuation is generally considered more an art than a science.

Since at this stage, there’s a dearth of hard data, emphasis is on qualitative factors. The idea is at the top of the list of any investor. It should have identified a gap and be providing a solution to fill that gap. They want to see your vision, strategy, how you’ll acquire customers and how you’ll convince them that they need your product.

They’ll look at your team and your commitment. “We want to see the burning desire of the promoters to their business”, says Praveen, an entrepreneur turned angel investor.

‘Cayenne Consulting’, a financial consulting firm specialising in high tech startup valuations has a form questionnaire to get a sense of the expected valuations. Although not accurate, this will serve as a good starting point for the uninitiated: <http://www.caycon.com/valuation.php>.

Perseverance is the name of the game

So are you ready to jump in with both feet and win over those customers and investors? Unlike what TV shows like Silicon Valley would have you believe, there’s no histrionics involved (Well, not much at least. We’re looking at you, Housing.com). The investors don’t like to burn their bridges. It’s easy to quickly know whether they’re interested or not – Look at your hands. If they aren’t holding a term sheet, move on. Try again. The fight isn’t lost when you fall, it’s lost when you fail to get up. We all know the story of how Yahoo! rejected the sale of Google at its early stage; it turned out to be the best rejection the dynamic duo could have ever gotten. You’ll encounter naysayers. Smile, nod your head and go about your business. **4**